Micron Technology, Inc.

MU NASDAQ

Buy **$940.13** ▲ 0.78%

12M Price Target **$1100.00**

52-Week Range $114.25 – $1255.00

Market Cap $1.06T

MU: Memory Shortage + CHIPS Act Tailwind Keeps Bull Case Intact

WHAT HAPPENED

- MU is grinding higher (+0.78%) but stuck below the $971 technical ceiling everyone's watching. The real story overnight: Samsung reportedly locked up 70% of HBM (high-bandwidth memory — the specialized chips AI accelerators need) capacity through 2031, which is a massive validation that memory supply is nowhere near catching demand. That's a direct tailwind for MU as the #2 HBM supplier.
- Options flow is flashing a weird signal — heavy put buying at $940 and $945 strikes (near-term expiries). That's 70K+ put contracts, way above normal. Translation: somebody big is either hedging a large long position or betting on a short-term pullback before the next leg up.

WHY IT MATTERS

The Samsung HBM lockup news is the tell — this memory cycle isn't a normal boom-bust, it's a structural shortage tied to AI buildout, and Micron is a duopoly beneficiary alongside SK Hynix and Samsung. Here's what most people miss: the "Micron vs. CXMT" narrative (China's state-backed memory champion) is actually bullish for MU short-term because U.S. export controls and the CHIPS Act are actively hobbling CXMT's ability to compete in high-end HBM. The heavy near-term put buying tells me smart money expects chop around $940-970 but isn't shorting the story — they're hedging gains. If MU breaks $971 with volume, the algo-driven momentum crowd piles in and $1,057 becomes the next magnet.

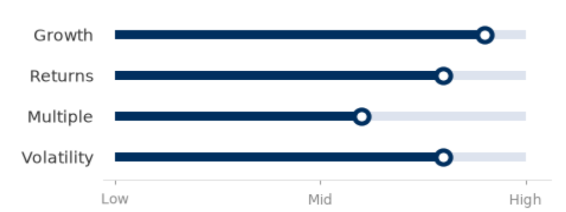
POLICY & POLITICAL WATCH

The CHIPS Act (originally 2022) is still Micron's single biggest policy tailwind — they've been awarded ~$6.1B in direct grants for Idaho and New York fabs, and the Trump administration has kept those flowing despite trimming other Biden-era programs. Watch for two things: (1) any expansion of export controls on advanced memory to China, which would further kneecap CXMT and protect MU's pricing power, and (2) reciprocal tariff talks with China — Micron gets a meaningful chunk of revenue from China, so escalation cuts both ways. There's also chatter about a "GENIUS Act" style bill to accelerate domestic AI infrastructure permitting; if it moves, it speeds up MU's fab buildouts.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$940.13**
12M Price Target	**$1100.00**
Upside / (Downside)	**+17.0%**
Market Cap	**$1.06T**
FY2026E Revenue	**$52,000M**
FY2027E Revenue	**$68,000M**
FY2026E EPS	**$42.50**
FY2027E EPS	**$58.00**
Fwd P/E	**22.1x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

MU — Price Outlook & Investment Strategy

EQUITY RESEARCH | EXTENDED ANALYSIS

MU — Micron Technology, Inc. | August 31, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$1050.00**	$975.00	**$880.00**
6 Months	**$1200.00**	$1050.00	**$820.00**
1 Year	**$1400.00**	$1100.00	**$750.00**
2 Years	**$1700.00**	$1300.00	**$650.00**
5 Years	**$2200.00**	$1600.00	**$500.00**
10 Years	**$3000.00**	$2000.00	**$400.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.05% today) on tariff/geopolitical premium; Tech still leading on 5-day (+3.22%) driven by AI infrastructure demand and continued CHIPS Act deployment.

COOLING OFF: Healthcare and Staples getting sold — classic risk-on rotation where investors are dumping defensives to chase AI/growth names.

ROTATION WATCH: Money is flowing FROM defensive sectors INTO tech/AI — that's a direct MU tailwind because it means institutional allocators are still adding to the AI trade, not trimming it.

RELATED PLAY: If you believe the memory shortage story, the equipment makers benefit second-order — Applied Materials (AMAT) and Lam Research (LRCX) sell the tools MU uses to build fabs, and they get paid whether or not the memory cycle peaks.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI accelerator king; every GPU sold means more HBM demand for MU.
- AVGO (Broadcom): Custom AI silicon wins with hyperscalers, driving networking + memory demand throughout data centers.

MU CONTEXT: MU is roughly in-line with the semi group but lagging NVDA's rally — that gap is the opportunity. As the market realizes HBM supply is the real bottleneck (not GPUs), MU should catch up. At 72% of its 52-week range, it's neither overbought nor oversold — perfect setup for a breakout trade if $971 gives way.

WHAT I'D DO WITH THIS STOCK

8/10 **Conviction Score**

Position Size: 4-6% of portfolio

Entry Points: $900-925 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over, or CXMT (China) achieves competitive HBM3E at scale

Hedging: Pair with small SOXS position or buy Sept puts near $900 strike as insurance